Stock Focus

Tabcorp Holdings Ltd (TAH-ASX)

Tabcorp Re-initiation - picking up the TAB

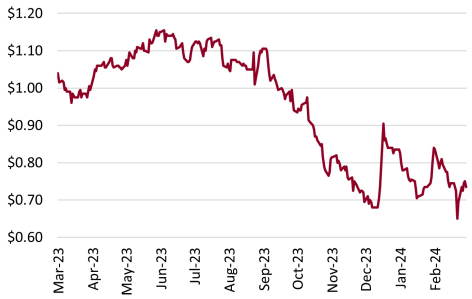
Recommendation: Positive

Last price	**AUD0.75**
Valuation	**AUD0.92**

TSR

Upside to valuation	23.0%
Dividend yield	2.7%
Expected total SH return	25.7%

TAH-ASX share price history
Source: E&P Research, IRESS



Trading Data

Last price	AUD0.75
Valuation	AUD0.92
Market cap ($m)	$2,382
Shares outstanding (m)	2,282.4
Free float (%)	1.0

Paul Mason
paul.mason@eandp.com.au
+61 3 9631 9867

Sam Bradshaw
sbradshaw@eandp.com.au
+61 3 9235 9706

We re-launch coverage on Tabcorp with a $0.92/sh valuation and Positive recommendation.

Tabcorp represents a stock that is emerging from a highly imbalanced regulatory landscape, but also one that has lagged competition on product and strategy. The company has made big efforts to shift the landscape back in its favour, with the recent reform deal in Victoria, as well as a step-change in systems (still underway) and digital capability.

The company is currently working away on seeing if it can achieve a level-playing-field outcome in NSW and SA that is similar to Victoria, and we believe this could be a good catalyst for investors, albeit at this stage there is reasonable uncertainty of outcome.

In the mean-time the demand outlook in the short term is weak, and has been for more than a year. As such a bet on Tabcorp is a medium term investment that looks through current weakness in the operating environment and forward to potential catalysts on a multi-year view.

High earnings growth from a low base

We forecast substantial NPAT growth over FY24-26 driven largely by commencement of the new Victorian retail licence earnings. The end of the VIC JV adds $140m to EBITDA in FY25 which flows through the rest of the P&L.

Our view

Tabcorp isn't the safest bet an investor ever came across, however at the moment we believe is offering good odds on share price appreciation from a low base. The end of the VIC JV is transformative for margins, and there is the potential for further level playing field catalysts to improve the financial profile even more. In addition, the wagering 'cycle' looks like it is towards a lower point at the moment, so there is the potential for positive operating leverage from a rebound in the industry in the coming year or two.

Earnings Forecasts

Yr to Jun (AUD)	23A	24E	25E	26E
EBITDA	390.8	329.0	474.6	497.4
Adjusted Net Profit	84.1	29.2	104.3	137.4
Adj. EPS (c)	3.7	1.3	4.6	6.0
DPS (c)	2.3	2.0	2.3	3.6
Yield (%)	**2.1**	**2.7**	**3.0**	**4.8**
EV/EBITDA (x)	**6.8**	**7.4**	**4.9**	**4.5**
Valuation (blended)				**AUD0.92**

Source: E&P Research

Table of Contents

- Investment Thesis - p3
- Brief Company Description - p4
- Digital Competitiveness - p5
- Gaming Services - p9
- Gambling Advertising Regulation - p11
- Level Playing Field - p12
- NSW could be as significant as Victoria for Tabcorp - p14
- Competition - p17
  - Betr - p17
  - Sportsbet - p18
  - Entain - p19
  - Bet365 - p20
- Financial Forecasts - p21
- Valuation - p24
- Key Risks - p25
- Board of Directors - p26

Investment Thesis

The investment thesis on Tabcorp is a straight forward bet on whether you believe regulatory reform and a better app are enough to shift the competitive landscape back in Tabcorp's favour or not. For years the company has lost market share to Entain and Sportsbet, and then has also seen new competition from players such as Betr. The company has somewhat been hamstrung by regulation, but also by a prior culture that was slower moving than competition. Tabcorp's TAB25 strategy aims at restoring competitiveness to the business through both a level playing field from a taxation perspective, and righting the business from a technology and overall offering perspective.

In terms of go-forward, we see the following drivers for Tabcorp in the medium term:

- **Digital Competitiveness** - Tabcorp has made investments to catch up the gap between its digital offering and competitors, and industry feedback (as well as our testing) indicates that they have caught up ground. We believe this dynamic has a tie-in to the advertising environment as well. Historically Tabcorp has been behind on core product, and while they have made up a lot of ground in ability to ship product, an even bigger element of levelling with competition could come from competitors not being able to market their new innovations effectively in an environment where there is an outright advertising ban.
- **Potential for full wagering advertising ban** - we believe that a full wagering advertising ban would be very positive for the big three incumbents (Tabcorp, Entain and Sportsbet) - likely leading to less competitive pressure on margins and substantially higher barriers to entry. For Tabcorp, the proposed carve-outs in the 2023 Federal inquiry into online gambling seem to be quite favourable, with Tabcorp allowed to retain advertising on Sky, as well as branding at pubs and clubs in line with its retail licensing. An outright ban on online gambling advertising would also likely simplify the situation for Tabcorp in relation to Entain's arrangements with the AHA that are currently under legal debate;
- **Level playing field** - we believe this is a significant benefit to Tabcorp vs historical competitive dynamics. This will lower the margin profile of most competition all else equal while raising Tabcorp's, meaning less ability to undercut Tabcorp on both the odds and generosities fronts. In terms of the overall implications of a fully-level playing field, we believe that this is dependent on other elements of the investment thesis. In a scenario where there is no change to current advertising and marketing capabilities, then we believe this will stem the bleeding for Tabcorp, but probably not drive massive shifts in market share from here. In the event that there are material changes to the advertising environment, then we believe the combination could lead to Tabcorp starting to structurally take share again;
- **NSW specific reform** - we have seen a significant positive outcome for Tabcorp from reforming the retail licensing structure and funding arrangements for Racing Victoria. NSW is underway as well, but the market appears to not be factoring in any benefits from this transition. While getting reform will inevitably involve writing a cheque and also has no certainty on timing, the market doesn't appear to be factoring in any outcome at all, thus at current share price levels this is basically a free option. Our analysis indicates that Tabcorp may be headed for a similar outcome in NSW to what occurred in Victoria.

On balance we think things are becoming more favourable for the company, with a lot of progress on level playing field already in the bag, and potential for further restrictions on gambling advertising which should help incumbents in general and reduce competition. It isn't the highest quality company we have come across, with some legacy issues, some decent fixed costs in its cost base, and strong competition, but the risk-reward to us looks really good at current levels.

Brief Company Description

Tabcorp is a leading wagering business in Australia that operates across the country in both online and retail wagering services. The company operates the following broad lines of business:

- TAB - is Australia's main retail/cash wagering brand. The retail business operates exclusive retail licences for totalisator, cash betting on both racing and sports, in Victoria, NSW, Queensland, South Australia, Tasmania, the Northern Territory and ACT (but not in WA where the government controls the retail TAB business). TAB also operates as an online wagering service across Australia.
- Sky - is a leader in multi-venue, multi-channel racing and sports broadcasting throughout Australia and also internationally.
- Premier Gateway International (PGi) and Sky Racing World - PGi is one of the largest global wagering and tote pooling hubs based in the Isle of Man. Sky Racing World is a US-based distributor of international racing content and facilitator of associated tote pools;
- MAX - Australia's largest gaming services provider, offers electronic gaming machine (EGM) monitoring and related integrity services, as well as other gaming-related services to venues;

Exhibit 1 - Tabcorp key brands



Source: Company Reports

Tabcorp reports three statutory revenue segments, Wagering, Media, and Gaming Services. In 2023 the segments reported the following revenues:

- Wagering $2010.4m;
- Media $220.4m;
- Gaming Services $203.6m

The company has its TAB25 strategy for transforming the business. This has involved a combination of targeting a Level Playing Field for the retail business (in terms of taxation first and foremost), righting its technology position vs competition, restructuring its Gaming Services business towards Integrity Services, and cost discipline. The company is broadly targeting a reversal of historical market share losses to comptitors in the wagering industry, and has called out some gains recently as follows:

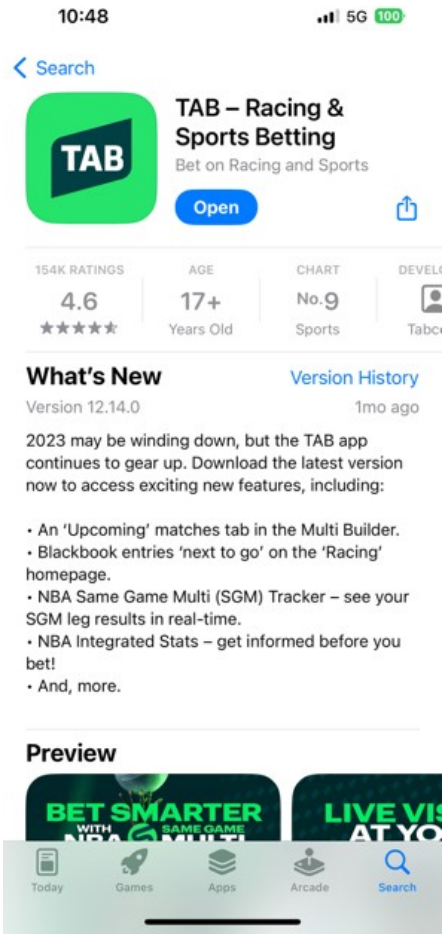
- 1h24 total revenue market share 33.7% (vs 32.9% in 2h23)
- 1h24 digital turnover market share 21.2% (vs 20.1% in 2h23)
- 1h24 digital revenue market share 24.4% (vs 23.9% in 2h23)

Digital Competitiveness

Historically Tabcorp has trailed a number of competitors in terms of its digital wagering experience, however the tide appears to have turned in this regard, at least to no longer being behind. Tabcorp now generally benchmarks on external rating measures as at least on par with major competition it needed to catch up to. For example, its app-store rating is now 4.6 stars (a pretty decent score).

Tabcorp invested in improving its digital development capabilities around the time of the demerger, and we believe from a pure digital user experience perspective (not including pricing and promotions) that Tabcorp has probably closed the gap enough that this is no longer a competitive disadvantage for the company as much as it used to be.

Exhibit 2 - Tabcorp app is now well rated in the app store



Source: Apple App Store

When benchmarked against other wagering apps, Tabcorp's app is now one of the leaders. Within the Apple App Store there is relative homogeneity of scores across apps, and so having a good score at scale is probably more important than being absolute no.1 ranked. To this end Tabcorp's app only trails Sportsbet for total ratings in the peer group in Australia in the Apple App Store.

For the Android App Store, Tabcorp has overtaken all but Bet365 in terms of scaled competitors, albeit we note that the Bet365 app is international and therefore not necessarily apples to apples.

APPLE	TAB	Sportsbet	bet365	Ladbrokes	PointsBet	
Apple App Store Score	4.6	4.6	4.6	4.6	4.6	
Total Ratings (000's)	154	184	31	43	14	
Chart Position (Sports)	9	1	8	25	24	
	TABtouch	Neds	BlueBet	BetDeluxe	Dabble	betr
Apple App Store Score	4.8	4.6	4.6	4.5	4.7	3.3
Total Ratings (000's)	6.8	4.4	8.6	1.9	3.1	0.1
Chart Position (Sports)	98	52	66	136	30	158

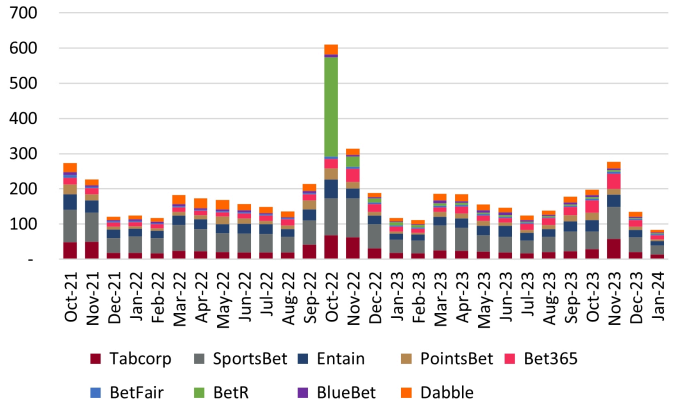
ANDROID	TAB	Sportsbet	bet365*	Ladbrokes	PointsBet	
Android App Store Score	4.3	3.8	4.5	4.1	3.9	
Total Ratings (000's)	11.2	21.2	82.2	18.5	11.1	
	TABtouch	Neds	BlueBet	BetDeluxe	Dabble	betr
Apple App Store Score	4.7	4.0	4.4	4.6	4.8	1.6
Total Ratings (000's)	2.2	0.7	1.6	0.7	1.2	0.2

Tabcorp has launched a Venue Mode feature in its app that is looking to build engagement with digital wagerers that visit TAB retail venues. The feature identifies geo-proximity to a TAB venue and offers different specific promotions or better odds, and also can integrate with the venue to enable discounts on food and beverage.

In terms of infrastructure supporting Tabcorp's systems, they have upgraded the front end systems to be supported by the Google Flutter platform. For marketing to customers Tabcorp now uses an adapted version of Adobe's marketing automation capabilities. For the Tote, technology is still on an older system that appears to have enough capacity for demand levels. In terms of Fixed Odds, Tabcorp is presently using Amtote, but is moving to a cloud-based system called OpenBet (the same system that Sportsbet uses) which will enable the company to have unlimited markets and significantly more capacity to handle wagering volume.

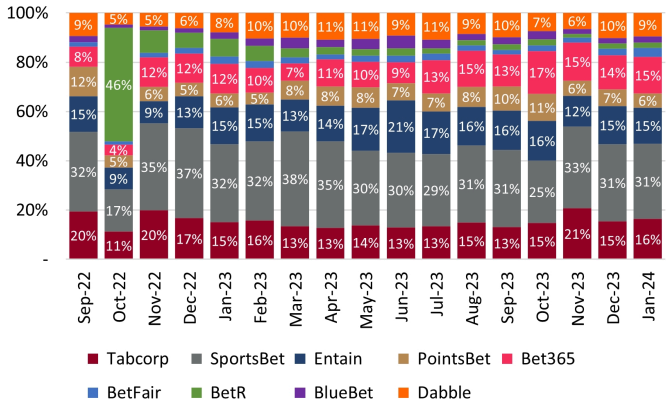
The below charts show app download data in absolute terms as well as in % market share terms for the major wagering apps in Australia. So far what they appear to illustrate (outside of the sharp increase from Betr in 2022 and subsequent normalisation) is basically a low level of volatility for Tabcorp market share or even minor gains depending on how optimistically you look at the most recent months.

Exhibit 3 - Australian Wagering App Downloads (000's)



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Exhibit 4 - Australian Wagering App Downloads Market Share



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Some independent review data

It is very difficult to find independent reviews on the quality of the betting operators. Typically app comparison websites appear to generally be affiliate marketing businesses which means an inherent conflict of interest in their advice. Typically most websites do not recommend either SportsBet or Tabcorp, the two largest players in the market with >70% digital share, indicative of their financial interests getting in the way of independent advice (presuming that the consumer knows best).

One independent survey that we have greater confidence in was performed by an ex-Bet365 trader - Joonas Karppinen. His independent betting services website - Edge Alerter - helps users compare odds & generosities across different operators and recommends arbitrage opportunities. Edge Alerter surveyed over 500 of its regular members for feedback on the most active 34 bookmakers. Each bookmaker was rated 1-to-5 on six different metrics for a maximum score of 30. The categories were: (1) first deposit offers; (2) promo availability; (3) promo sustainability; (4) pricing; (5) user experience; and (6) customer support. The survey was conducted in late CY22 which was after Tabcorp launched their revamped app.

Tabcorp ranked #2 in the survey, with many observing that they had ramped up their game over the last 6-8 months, particularly regarding promotions. They also noted Tabcorp's promotions and/or advertising shift away from parimutuel betting towards fixed odds betting, which has better margins for the consumer and is generally preferred amongst betters (particularly younger cohorts). One key area of weakness noted was pricing, with Tabcorp usually having 4-5% more margin in their racing books compared to SportsBet & Bet365. SportsBet were recognized for their phenomenal promotion offering and top-notch user experience highlighted by their app speed. Unsurprisingly BetR scored a perfect five for promotions, but suffered from poor user experience. BetR has since reeled in its promotions as well.

Exhibit 5 - Edge Alerter Bookmaker Survey

Bookie	First deposit offer	Promos	Promo sustainability	Pricing	User experience	Customer support	Total Score
Sportsbet	4	5	4	4	5	5	27
TAB	4	5	5	3	4	4	25
Bet365	2	3	5	5	5	4	24
Ladbrokes/ NEDS	4	5	2	4	4	4	23
Pointsbet	3	4	3	4	4	4	22
TopSport	2	3	4	5	3	4	21
PlayUp	3	3	2	3	3	3	17
BetDeluxe	3	4	4	2	2	2	17
Betr	2	5	3	3	2	2	17
Elite Bet	2	4	2	3	2	3	16
Palmer Bet	2	2	2	4	2	3	15
Colossal	2	2	3	3	3	2	15
Blue Bet	3	3	1	3	3	2	15
Bet Nation	3	3	3	2	2	2	15
Cross Bet	3	3	2	3	2	2	15
Southern Cross Bet	2	2	2	3	2	3	14
Bet Right	3	2	2	2	2	2	13
Unibet	2	3	2	3	1	2	13
Boom Bet	1	3	2	2	2	2	12
Punt 123	1	3	2	2	2	2	12
Wish Bet	1	3	2	2	2	2	12
BBet	2	2	2	2	2	2	12
Real Bookie	2	3	1	2	2	2	12
Texbet	2	3	1	2	2	2	12
Pickle Bet	1	2	2	2	2	2	11
Picnic Bet	1	2	2	2	2	2	11
Budget Bet	1	3	1	2	2	2	11
Z Bet	1	1	2	2	2	2	10
	1	2	1	2	2	2	10
	1	1	1	2	2	2	9
	1	1	1	2	2	2	9
	1	2	1	1	2	2	9
	1	1	1	1	2	2	8

Source: Edge Alerter, Shane Huang. Note: Edge Alerter does not receive any affliliate commissions from partner sites. However, Shane Huang (host of the video showing the results) does.

Gaming Services

Tabcorp operates MAX, a leading gaming services operator in Australia. MAX provides a host of solutions, of which the largest driver is monitoring electronic gaming machines (EGMs) under the MAX Regulatory Services brand (Tabcorp refers to as Integrity Services).

Tabcorp's ownership of MAX is a legacy of being historically horizontally integrated across gaming verticals, and nowadays the assets don't have much synergy with the wagering & media business. As such the potential future sale of Gaming Services could function as a catalyst for value-release for the company in the future. Otherwise the assets provide some stability and diversification vs the wagering and media businesses.

MAX has two divisions

- Regulatory Services (Integrity Services) - monitors Electronig Gaming Machines (EGMs)
- Venue Services - Max Integrated Systems and MAX Technical Services

In FY23 Gaming Services won a new 20-year exclusive Tasmanian Monitoring Operator Licence to monitor all EGMs in hotels and clubs in Tasmania. This commenced on 1 July 2023, and adds to licences across NSW, QLD and NT. This will be a moderate uplift in business for Tabcorp overall, with the Tasmanian market capped at 2348 machines presently.

The company also agreed to sell a sub-division of MAX, MAX Performance Solutions

Venue Services

MAX Integrated Systems provides core gaming systems that manage a venue's database, monitor customer activity and track gaming performance. MAX technical services offers a team of technicians and customer service operators that provide servicing support, EGM repair, and logistics services.

Integrity Services

MAX operates EGM monitoring services across NSW, QLD (in a contested market), Northern Territory, and now also Tasmania. At the FY23 result the below statistics displayed MAX's integrity services coverage.

Exhibit 6 - Integrity Services covers more than 120k EGMs in Australia

MONITORED EGMs	JUN-23	JUN-22	CHANGE
NSW	91,970	90,340	1,630
QLD	28,710	28,660	50
NT	1,530	1,370	160
Total	**122,210**	**120,370**	**1,840**

Source: Tabcorp

The entire Gaming Services segment has a relatively attractive financial profile, with 40.8% EBITDA margins for the entire business, and 16.9% EBIT margins. The last few years capex for the segment has come in significantly below depreciation (FY23 $21m vs $48.7m D&A, FY22 $9.8m vs $71.4m D&A), as such free cash flow yields from the segment have been quite strong.

Tabcorp has rights to operate these services as follows:

- NSW expiring (up for re-tender) in 2032
- QLD expiring 2027 with renewal rights
- NT expring 2026 with renewal rights
- Tasmania expiring 2043

In terms of a valuation on this business, the 1h24 financial profile included revenue $93.0m, $35.8m EBITDA, $16.7m EBIT and $28.5m unlevered free cash flow. On an annualised basis we need to make the following adjustment to the 1h24 figures to look at ongoing earnings power:

- Tabcorp has sold MAX Performance Solutions for $21.3m This contributed annualised earnings of $42.3m revenue, $17.6m EBITDA and $2.6m EBIT;

As such residual annualised equivalent of 1h24 for Gaming Services = Revenue $143.7m, EBITDA $54.4m, EBIT $30.8m

Both transactions above indicate that something in the order of 10x EV/EBITDA could be quite readily achievable in terms of an asset sale, potentially even higher, which would make the business worth ~$550m.

Gambling advertising regulation

In 2023 The House of Representatives Standing Committee on Social Policy and Legal Affairs tabled the report of its inquiry into online gambling and its impacts on those experiencing gambling harm. The report, entitled "You win some, you lose more report" (The Report) had 31 recommendations that apply a public health lens to online gambling to reduce harm to Australians. Key elements of the 31 recommendations as it relates to Tabcorp were as follows (in our view):

- "A phased, comprehensive ban on all gambling advertising on all media - broadcast and online, that leaves no room for circumvention, is needed. Partial bans on gambling advertising do not work...". The committee recommended a three-year phase in period taking note of the need for sporting bodies and broadcasters to have time to locate alternative sources of advertising revenue and to comply with current contractual obligations.
  - Phase 1: prohibition of all online gambling inducements and inducement advertising, and all advertising of online gambling on social media and online platforms. Removal of the exemption for advertising online gambling during news and current affairs broadcasts. Prohibition of advertising online gambling on commercial radio between 8.30-9am and 3.30-4pm (school drop off and pick up);
  - Phase 2: prohibition of all online gambling advertising and commentary on odds, during and an hour either side of a sports broadcast. Prohibition of all in-stadia advertising, including logos on players' uniforms;
  - Phase 3: prohibition of all broadcast online gambling advertising between the hours of 6am-10pm;
  - Phase 4: by the end of year 3, prohibition of all online gambling advertising and sponsorship.
  - **Gambling advertising on dedicated racing channels and programming should be exempt from the ban;**
  - Small community radio broadcasters should be exempt from further restrictions until December 2025
- The committee also recommends funding a new national regulation framework and national online gambling regulator (whose sole purpose is reducing harm) via a levy on wagering service providers
- The committee recommends the Australian Government develops and implements technological solutions and resources to quickly and more effectively block offshore gambling websites including skin gambling websites and mirror websites, a protocol for blocking transactions to known illegal gambling operators in cooperation with Australian banks and other payment system providers, and stronger sanctions for companies and known individuals who profit from illegal gambling;
- Customer identities should be verified prior to the commencement of online gambling;
- The Australian Government should prohibit all online gambling inducements and inducement advertising, and that it do so without delay (commentary indicated that some of the impetus behind this was the delay in implementing BetStop)
- Introduction of national regulation that imposes a customer duty of care on online wagering service providers
- Consultation with industry and people who gamble to determine minimum bet limits for online wagering for inclusion in national regulation

We believe that a ban on gambling advertising as suggested by The Report would be highly positive for Tabcorp, Sportsbet and Entain, and a very adverse outcome for smaller or newer entrants that have not yet established a brand presence or install base. While a ban would likely reduce the overall volume of wagering, or at least dampen the overall growth trajectory of wagering, we would generally expect margins in the industry to lift quite substantially given far less marketing expense and promotions.

For Tabcorp in particular, having possession of retail wagering licenses should give it an extra advantage in such a scenario, as it would continue to have the ability to push its brand via its retail venues. While more constained than previously, it would likely be the only brand with significant outdoor advertising presence in the country. In addition, advertising inventory on Sky would likely increase in value as the major Racing TV channel that would be subject to a carve-out from the advertising ban.

Level playing field

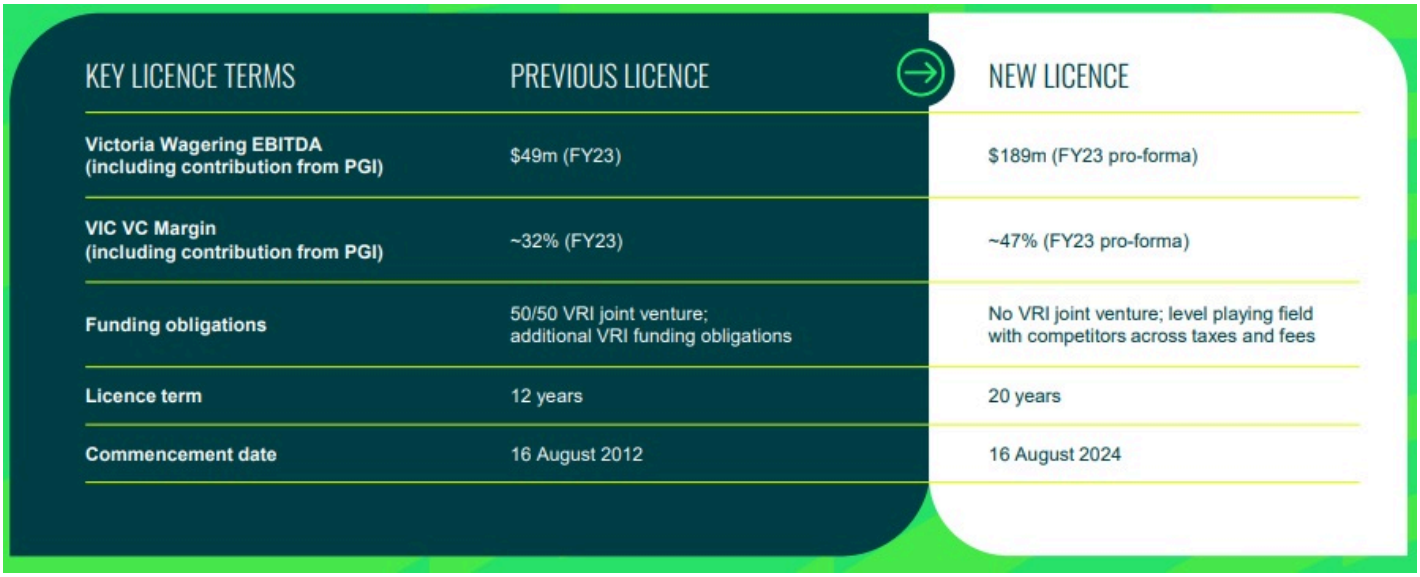
A big tenet of the bull thesis on Tabcorp is that having a level playing field will be a signficant benefit to Tabcorp's long term competitive position.

Level playing field in general terms refers to the legacy industry structure that contemplated Tabcorp having a monopoly position (pre-internet and pre-phone-apps) based on its retail licensing in each state (except WA). Tabcorp had industry funding arrangements in place with various racing bodies across Thoroughbreds, Harness Racing and Greyhounds.

Initially with the entry of online-only players such as Sportsbet and Entain to the Australian market, outside of certain race field fees there was not an equal tax/funding regime in place, and Tabcorp was therefore starting from a lower-margin point in competing with new online-only entrants, which contributed (not exclusively but in part) to them not being able to offer as competitive offers.

Tabcorp has more recently renegotiated its arrangements in Victoria so that it will pay level taxes (15% point of consumption tax) on both its retail and online offerings, and, after a transition period, no longer have direct funding obligations with Racing Victoria. This led to a significant uplift in earnings for the group, albeit with a new funding requirement to renew the licence as well ($600m upfront and $30m per annum over the 20 year renewed licence term).

Exhibit 7 - Tabcorp new Victorian Retail Licence outcome



Source: Tabcorp

Victorian Retail License

On 18th December 2023 Tabcorp announced that it had been awarded the new Victorian Wagering and Betting Licence by the Victorian Government.

Key terms and points from the release included:

- New 20 year licence arrangement;
- Creates a level playing field in Victoria for taxes and fees;
- No obligations or racing industry joint venture under the New Licence;
- Victorian Government has committed to ensure exclusivity before and during the term of the New Licence;
- Earnings impacts:

- Indicative $140m Group EBITDA impact annualised
- Tabcorp also noted that $83m of new opex will come into the corporate group as a result of consolidating the previously-JV business, indicating a variable contribution increment of $223m.

- Payments comprise $600m in June 2024, and $30m ongoing fixed payments from August 2025-2043 (indicative NPV provided by Tabcorp of $864m based on a 9.25% discount rate)
- Tabcorp estimated that pro-forma FY23 EBITDA would have risen by $140m and EBIT by $132m if the deal was in effect for all of FY23 - which factors in the cessation of the VRI JV and a net reduction in fees to the VRI, partly offset by an increase in Point of Consumption Tax
- Tabcorp expected to agree transition arrangements with VRI shortly, which will likely include Tabcorp paying fixed distributions until the commencement of the new Licence arrangements, as well as $15m additional funding for the first 3 years of the new Licence, which provides Tabcorp with greater autonomy for the remainder of the current licence and also secures rights in respect to JV assets.

We believe that Tabcorp has achieved approximately an 11.1% post tax unlevered IRR on the deal with Victoria, or ~17.5% pre-tax IRR.

Remaining gaps in level playing field

In terms of progress on leveling the playing field, Tabcorp provided the following disclosure at last update.

Exhibit 8 - Tabcorp - level playing field progress



Source: Tabcorp

NSW could be as significant as Victoria for Tabcorp

We believe that the market is presently not factoring in a substantial benefit for NSW at all in forecasts. The prospect of a NSW level playing field is reliant on some government activity, and as such might take some time to work out. However we believe that the NSW opportunity is about the same potential impact as Victoria again, just with a different regime and structure in place.

NSW currently charges a universal 15% point-of-consumption-tax on all wagering in the state. There is a carve-out for TAB (which Tabcorp has the licence for currently) whereby it can offset its POCT obligations against existing funding arrangements in place.

At present TAB (and therefore Tabcorp) is party to a Racing Distribution Agreement under which it pays certain taxes to the NSW racing industry. From independent public documentation we have been able to find the following information about the agreement. We note that because we have not been able to get an unredacted copy of the Racing Distribution Agreement, we do not know the full extent of fees, obligations, or any potential offsets, involved in the agreement:

- A Product Fee of 21.9965% of net wagering revenue;
- A Wagering Incentive Fee of 25% of wagering earnings;
- An annual Fixed Product Fee of $12m indexed to CPI; and
- Other fees in respect of particular products.

There is then an Intercode Deed between Racing NSW (thoroughbreds), Harness Racing NSW and Greyhound Racing NSW which splits this fees 72% to Thoroughbreds, 15% to Harness and 13% to Greyhounds.

Our understanding is that one of the key level-playing-field motivations outside of Tabcorp is that presently Greyhounds appears to be under-earning vs their contribution to wagering volumes from this arrangement.

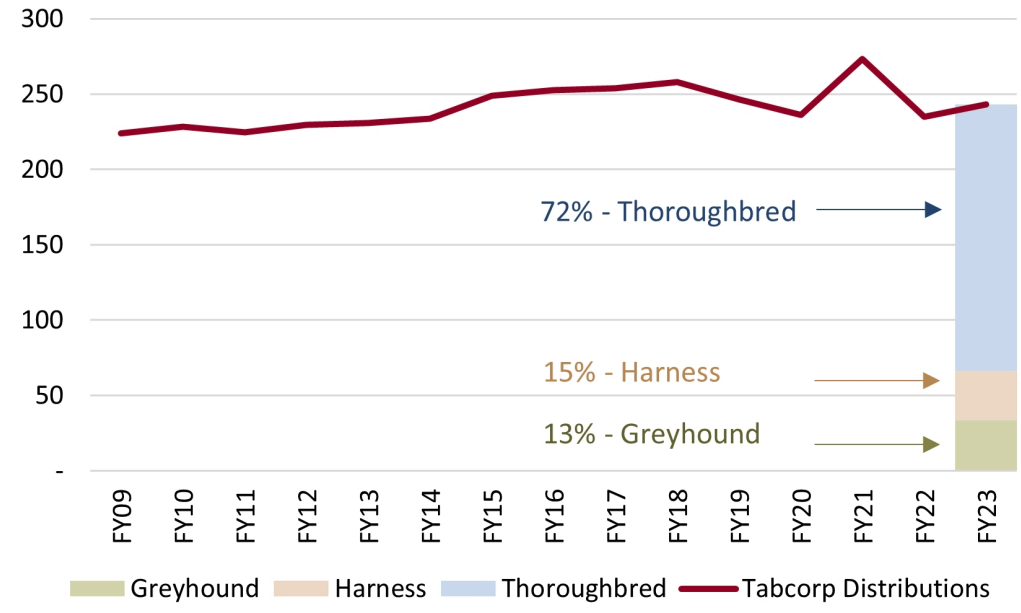
Note that these elements relate to all wagering revenue of TAB NSW, not just wagering related to NSW racing.

The 15% POCT in NSW is imposed on net wagering revenue in NSW above threshold minimum net revenues. As such, in the event of achieving a fully level playing field there is an obvious step-down in tax rate for Tabcorp that would occur in NSW.

We have attempted to quantify this using disclosures from the various NSW racing bodies. At present the three racing bodies provide disclosures around their distributions from TAB NSW as follows:

- In 2023 Racing NSW noted that it had received a $177m distribution from TAB
- In 2023 Harness Racing NSW noted it had received $32.3m from TAB
- In 2023 Greyhound Racing NSW noted $33.9m in TAB distributions
- TOTAL 2023 distributions by NSW TAB = $243.2m

Exhibit 9 - Tabcorp Distribution to NSW Racing Bodies per Intercode Deed ($m)



Source: NSW Intercode Deed, Racing NSW, Harness Racing NSW, Greyhound Racing NSW, E&P Estimates

In comparison, currently both Harness Racing NSW and Greyhound Racing NSW disclose their POCT share in NSW. Using information from the Intercode Deed you can infer POCT for Racing NSW as well (they receive a 72% share under the Intercode Deed). We believe total POCT paid by all other players in 2023 was $80m composed of the following:

- Greyhound Racing - $8.6m
- Harness Racing - $13.8m
- Thoroughbreds (Racing NSW) - $57.6m

We note that some media outlets have reported Racing NSW as receiving as high as $70m in 2022-23 (a specific source being the Sydney Morning Herald on 2nd December 2023 in the article entitled 'Unfathomable': the new tax fuelling racing's growing power). If this is accurate then the total of all other players would instead be $92m.

Whether the right number is $80m or potentially $92m, the figure represents the total POCT paid by all online operators, and is a substantially lower overall funding source than the burden put on the retail licence.

In terms of our estimate of Tabcorp's potential NSW POCT liability for its retail business (if it did not pay its other larger taxes, we outline next.

Tabcorp earned cash wagering revenue of $818.4m in 2023, of which we believe NSW will have contributed ~38% in line with the approximate contribution of NSW to wagering volumes ex-online. This would imply that NSW is contributing ~$310m of net revenue to Tabcorp's retail business. At a 15% POCT this would imply a tax bill of $47m, or a roughly $190m step-down in contributions to Racing NSW if the playing field is leveled.

One complication in this analysis is that the agreement between Tabcorp and the NSW Racing Industry is a private contract as described earlier, which means we do not know the full terms. We understand there are marketing obligations and strategic constraints in the agreement (for instance presently Racing NSW is suing Tabcorp around fulfilling marketing obligations in the agreement which indicates additional financial obligations). In addition, Tabcorp is seeking a level playing field arrangement in the middle of an existing licence agreement which runs on an exclusive basis until 2033, and on a potentially contested basis until 2097. As such we believe there are numerous risks around the eventual upside in our calculations and it is therefore prudent to presume a lower figure than our headline maths.

So, broadly for now we are presuming that NSW will work out to be roughly the same impact on Tabcorp as Victoria if it moves to a level playing field.

This would involve a ~$140m step-up in EBITDA. In the event the licence exclusivity period were extended by a further 10-11 years (depending on date) so that exclusivity ran for 20 years with the higher EBITDA yield, we would then also expect that Tabcorp would need to make a similar set of payment arrangements as in Victoria (so $600m upfront, and $30m ongoing, with an NPV of $864m or so).

Modelling a similar outcome for NSW as VIC (starting in 2h26) would increase our valuation from $0.92/sh up to $1.18/sh (+26cps). At the moment we do not include this officially in our forecasts given how big an impact it could have on earnings forecasts and the lack of certainty on timing.

Competition

Compared to other gaming stocks in our coverage, competitive intensity is a larger factor for Tabcorp. While it has a retail monopoly in place across the states of Australia, the online wagering format has been where all the growth in the industry has been, and Tabcorp is not presently the market leader.

We profile these two competitors, and the newer entrant Betr and international player Bet365 below to give a feel for competition in the sector.

Broadly, Tabcorp has historically had disadvantages from a regulatory perspective, and been behind on its online strategy. As discussed earlier, these elements are moving to a more favourable stance for Tabcorp, but at the moment not to a position where Tabcorp has any absolute competitive advantages.

Betr

Betr is a newer player that garnered headlines a while ago for making very big marketing attemps in entering the Australian wagering market. The company has had financial backing from News Corporation and was originally formed as a partnership between News Corporation, Matthew Tripp and a Las Vegas consortium.

Betr is a private company and has so far not lodged company accounts with ASIC, making it difficult to know its specific market share and revenue or profitability. We understand from industry feedback that the company has stabilized in a profitable position.

Betr initially made an attempt to win the Western Australian TAB retail licence in 2022. Betr ended up as the preferred bidder for the licence but then pulled out, leading to the Western Australian government ending the process without a sale.

As well, Betr had previously attempted to acquire the Australian operations of Pointsbet albeit the parties could not agree terms.

Betr made a big splash in the market during 2022 Spring Racing Carnival experiencing a surge in implied market share. The company is better known for its odds on offer rather than its technology capabilities.

Sportsbet

Sportsbet is an Australian subsidiary of Flutter Entertainment, a listed company on the London Stock Exchange. Flutter also owns Betfair, FanDuel, Paddy Power, PokerStars and Sky Betting & Gaming.

Australia makes up ~16% of Flutter's global revenues.

The higher level articulated strategy for Sportsbet is to win across the three factors of product, value and marketing. This sits within a broader global strategy stated around four key pillars: Invest to win in the US, grow our gold medal businesses in core markets, build on our network and invest for leadership positions across international markets, and create the future by taking early positions to realise potential of future spaces.

Flutter in general aims to drive scale advantages with its global footprint, albeit it has not historically sacrificed returns for scale and market share, and instead leaned into its superior phone app as a key differentiator, as well as innovated on the product front.

The company has seen very strong growth in Australia, with average monthly player growth surging during the COVID years, and its total sportsbook stake growing by almost 5x since 2015. The company has managed this profitably as well, with operating margins (EBIT) close to or sometimes above 30%. Its Sales & Marketing efforts as a percentage of revenue have collapsed in the last few years, explained by strong sales growth and a flat sales & marketing budget of around $230m per annum.

Sportsbet (via Flutter) publishes average monthly player statistics that are shown below. In 2022 the company had publicly quoted 2.2m total players in Australia.

Exhibit 10 - Sportsbet financial profile

	2015	2016	2017	2018	2019	2020	2021	2022
Average Monthly Players (k)					630	794	1008	1090
Sportsbook stakes (AUDm)	4169.8	5277.0	6229.0	7691.8	12391.9	18056.8	21427.5	20078.4
Total Revenue (AUDm)	471.2	565.6	678.7	719.5	1250.0	1998.5	2369.4	2245.0
Net Revenue Margin (%)	*11.3%*	*10.7%*	*10.9%*	*9.4%*	*10.1%*	*11.1%*	*11.1%*	*11.2%*
Cost of Sales	-117.8	-145.0	-186.5	-216.0	-548.8	-966.7	-1164.6	-1128.7
Gross Profit	353.4	420.6	492.2	503.5	701.2	1031.8	1204.9	1116.3
Gross Margin (%)	*75.0%*	*74.4%*	*72.5%*	*70.0%*	*56.1%*	*51.6%*	*50.9%*	*49.7%*
Sales & Marketing	-103.6	-130.5	-137.8	-146.9	-227.6	-239.8	-217.9	-238.2
Other Operating Costs	-107.6	-117.8	-119.3	-111.2	-176.2	-200.8	-186.8	-184.9
Adjusted EBITDA	142.2	172.2	235.2	245.3	297.4	591.2	800.2	693.2
EBITDA margin (%)	*30.2%*	*30.4%*	*34.7%*	*34.1%*	*23.8%*	*29.6%*	*33.8%*	*30.9%*
D&A	-18.3	-18.1	-25.2	-32.1	-55.1	-55.8	-47.6	-51.5
Adjusted Operating Profit	123.9	154.1	210.0	213.2	242.3	535.4	752.6	641.7
Operating Margin (%)	*26.3%*	*27.2%*	*30.9%*	*29.6%*	*19.4%*	*26.8%*	*31.8%*	*28.6%*
Sales & Marketing % Sales	*22.0%*	*23.1%*	*20.3%*	*20.4%*	*18.2%*	*12.0%*	*9.2%*	*10.6%*
Other Operating Costs % Sales	*22.8%*	*20.8%*	*17.6%*	*15.5%*	*14.1%*	*10.0%*	*7.9%*	*8.2%*

Source: Company Reports

4Q trading update on 18th January 2024:

- Australia (revenue -2%) reflecting guided racing trends in line with expectations

3Q23 commentary:

- Sportsbet revenue -7%. Racing market weakness now expected to continue into 2024
- Australia generated GBP262m in revenue in 3Q23 vs GBP319m revenue in 3Q22 (-18% yoy and -7% in constant FX). Average monthly players +2% to 1124k citing good retention
- Extended access to Sky Racing streaming in the quarter for 10 years, including the addition of Sportsbet branded content

- "The challenging racing market we saw in Q2, continued in Q3 and resulted in sportsbook stakes being 9% lower. Revenue declined 7% as sportsbook net revenue margin increased 20 basis points to 11.3%. The softer racing market is now expected to persist into 2024. The market is also experiencing increased regulatory oversight, including a ban on credit card deposits. The combination of these items will now limit our ability in the near-term to offset the impact of the previously announced Victoria point of consumption tax increase from July 2024 (annualised cost GBP27m)."

Entain

Entain's growth strategy at a global entity level is described as: leadership in the US; grow our presence in existing markets; expand into new regulated markets - both organically and via M&A; extend into interactive entertainment

Locally Entain has acquired its way to a strong market share position after purchasing Neds International in 2018. In general the global Entain group is acquisitive, having averaged 3-4 acquisitions of differing magnitudes each year for a while.

The company has taken some of its international IP and practices and transplanted it into Australia, such as launching the Coral Racing Club, and Bet with Mates. More recently it has engaged in a deal with the Australian Hotels Associates New South Wales in an advertising and sponsorship agreement that Tabcorp is pursuing legal action against.

Entain made attempts recently to try and acquire spectrum from Channel 10 to launch a competing racing channel in Australia as well, however general reporting indicates this activity is on hold or has stopped.

3Q23 notes:

- Australia (along with Italy) called out for volume weakness
- "Declining consumer sentiment in Australia, as reported by others, is likely to be having an impact. Pus, as we spoke about at the interims, we reduced our marketing spend in Australia significantly in H1 to mitigate against the impact of tax rises and that will be having some impact on our top line."
- "We must assume some continuation of lower volumes into next year, in particular in Australia."
- Currently estimating a GBP30m impact to EBITDA from changes to NSW and QLD POCT in 2023
- Half-yearly net gaming revenue was -2% and actives -3%

The company does not provide total player statistics in Australia on an audited basis, however was quoted in 2022 as having 698,000 playing customers.

Exhibit 11 - Entain Australian revenue performance

	2018	2019	2020	2021	2022
Australia Revenue converted to AUDm	308.0	452.8	719.1	839.2	827.8
Australia Revenue restatement (AUDm)				763.4	
Growth rates on as-reported (ex-restatement)		47.0%	58.8%	16.7%	-1.4%
Growth rates including restatement		47.0%	58.8%	6.2%	8.4%

Source: Company Reports

Bet365

Bet365 is a private company based in the UK owned by the Coates Family. The company is an online gambling company that offers both sports betting as well as online casino, online poker and online bingo. The business is based in the UK but has a Malta-based entity in the corporate group (often helps with licencing and tax arrangements).

The company operates from offices in Gibraltar, Malta, Bulgaria, Armenia, Australia, and also Manchester in the UK. The broader Bet365 Group reported turnover of GBP3413m in the 52 week period ended 26th March 2023, and a gross profit of GBP2896m. The entire group reported a marginal operating loss for the year.

From a product perspective, the company has noted the release of enhancements to its "Bet Builder" and "Bet Boost" features in its app in 2023, as well as investments in its trading platform capability and markets to increase its in-play and pre-match market offerings.

The below table shows the performance of Bet365's Australian subsidiary. The entity does not disclose raw wagering turnover, but does disclose revenue and other items.

Exhibit 12 - Bet365 Australian subsidiary financial performance (AUD$m)

	2018	2019	2020	2021	2022	2023
Revenue	115.0	120.9	147.2	190.3	200.4	201.3
Other Income	0.2	0.5	0.1	0.1	0.0	0.2
-----	-----	-----	-----	-----	-----	-----
Employee Expenses	-34.2	-40.7	-43.6	-48.7	-49.8	-54.7
Advertising Expenses	-30.3	-36.8	-32.8	-37.0	-41.5	-44.6
Levy Expense	-29.9	-41.3	-56.1	-70.9	-74.6	-80.2
Other Opex	-18.5	-13.5	-31.5	-28.3	-16.8	-9.3
-----	-----	-----	-----	-----	-----	-----
EBITDA	2.3	-10.8	-16.7	5.5	17.8	12.7
D&A	-1.0	-1.5	-3.3	-4.1	-3.5	-3.6
-----	-----	-----	-----	-----	-----	-----
EBIT	1.3	-12.3	-19.9	1.5	14.3	9.1
Tax	-0.4	3.7	6.0	-0.5	-4.3	-2.7
-----	-----	-----	-----	-----	-----	-----
NPAT	0.9	-8.6	-13.9	1.0	10.0	6.3

Source: Company Accounts

Financial Forecasts

We forecast Tabcorp to achieve 4.3% revenue CAGR from FY24-27. We have an underlying low single-digits assumption for revenue growth, plus a step-up in revenues in FY25 from dissolution of the Victorian JV.

In FY24 we presume that 2h24 sees a continuation of the tough environment the industry is presently experiencing. From FY25 onwards we presume a slow recovery with the start of positive growth rates. We do not make any bold forecasts around significant shifts in marketshare trajectory, as such if level playing field or advertising regulation works as we discussed we would expect this to result in Tabcorp beating our forecasts.

Otherwise, we forecast 14.8% EBITDA growth over FY24-27, driven by a large jump in margins in FY25 from the new Victorian Retail licence and additional EBITDA ($140m). This impact provides leverage through the P&L and drives substantial growth in NPAT in FY25/26.

Exhibit 13 - Tabcorp - P&L forecasts FY24-27

P&L	2022A	2023A	2024E	2025E	2026E	2027E	CAGR 24-27
Sales Revenue	2,373.3	2,434.4	2,291.4	2,528.1	2,562.6	2,596.9	4.3%
Sales Growth (%)		*2.6%*	*-5.9%*	*10.3%*	*1.4%*	*1.3%*	
Other Income	0.0	0.0	0.0	0.0	0.0	0.0	
Total revenue	**2,373.3**	**2,434.4**	**2,291.4**	**2,528.1**	**2,562.6**	**2,596.9**	4.3%
Revenue Growth (%)		*2.6%*	*-5.9%*	*10.3%*	*1.4%*	*1.3%*	
COGS	-1,392.1	-1,426.1	-1,365.1	-1,372.4	-1,367.2	-1,384.6	
OPEX	-599.6	-617.5	-597.4	-681.1	-698.0	-714.6	
EBITDA	**381.6**	**391.0**	**329.0**	**474.6**	**497.4**	**497.7**	14.8%
EBITDA Margin (%)	*16.1%*	*16.1%*	*14.4%*	*18.8%*	*19.4%*	*19.2%*	
Depreciation	-84.5	-82.7	-77.5	-69.5	-67.5	-66.4	
Amortisation	-201.9	-157.8	-146.9	-184.4	-177.4	-171.4	
EBIT	**95.2**	**150.5**	**104.5**	**220.7**	**252.5**	**259.9**	35.5%
EBIT Margin (%)	*4.0%*	*6.2%*	*4.6%*	*8.7%*	*9.9%*	*10.0%*	
Interest Income	0.4	4.6	22.9	24.2	30.8	38.4	
Interest Expense	-116.3	-28.4	-60.3	-80.0	-80.0	-80.0	
Share of associates	0.0	-2.7	-6.8	-6.0	3.0	15.0	
Other	-9.5	-8.7	-17.5	-10.0	-10.0	-10.0	
NPBT	-30.2	115.3	42.9	149.0	196.2	223.3	73.3%
Tax	12.1	-31.0	-13.7	-44.7	-58.9	-67.0	
Effective Tax Rate (%)	*40.1%*	*26.9%*	*31.9%*	*30.0%*	*30.0%*	*30.0%*	
Discontinued Ops	380.5	0.0	0.0	0.0	0.0	0.0	
NPAT	**362.4**	**84.3**	**29.2**	**104.3**	**137.4**	**156.3**	74.9%
Significant Items	**6,413.5**	**-17.8**	**-654.4**	**0.0**	**0.0**	**0.0**	
Minority Interest	0.0	0.0	0.0	0.0	0.0	0.0	
Shareholder Profit	6,775.9	66.5	-625.2	104.3	137.4	156.3	
NPAT Growth		*-76.7%*	*-65.3%*	*256.9%*	*31.7%*	*13.8%*	

Source: E&Pe, Company Reports

From a cash flow perspective, FFO and Operating Cash Flow growth are both driven by the step-up in EBITDA in FY25 from the new Victorian retail licence. Capex falls significantly in FY25 due to the one-time payment of $600m made for the new Victoria retial licence in FY24.

Both FFO and Operating Cash Flow significantly exceed NPAT in FY25-27 due to the large amortisation burden on the P&L which will increase due to the Victorian Licence asset.

We forecast ongoing dividends from Tabcorp which are set at 60% of NPAT. GIven the large step-up in NPAT in FY25/26 we have a reciprocal growth in Tabcorp's dividend.

Exhibit 14 - Tabcorp - Cash Flow forecasts

CASH FLOW STATEMENT	2022A	2023A	2024E	2025E	2026E	2027E	CAGR 24-27
EBITDA		391.0	329.0	474.6	497.4	497.7	
Interest received		4.6	28.2	24.2	30.8	38.4	
Interest paid		-28.1	-66.9	-90.0	-90.0	-90.0	
Tax paid		-30.2	64.1	-44.7	-58.9	-67.0	
Other		-154.6	-86.6	0.0	0.0	0.0	
FFO		182.7	267.8	364.2	379.3	379.2	12.3%
FFO Growth (%)			46.6%	36.0%	4.2%	0.0%	
Change in working capital		-63.4	-60.4	-20.4	3.9	4.2	
Operating cash flow		**119.3**	**207.4**	**343.7**	**383.2**	**383.3**	
OCF Growth (%)			73.8%	65.7%	11.5%	0.0%	
Capex		0.0	-27.0	-63.2	-64.1	-64.9	
Intangibles Capex		-196.9	-724.2	-130.5	-130.5	-130.5	
Sale of NCA's		41.2	1.2	0.0	0.0	0.0	
Divestments		59.0	21.0	0.0	0.0	0.0	
Acquisition of Associate		-33.3	-2.6	0.0	0.0	0.0	
Other		0.0	-2.9	-6.0	3.0	15.0	
Investing cash flow		**-130.0**	**-734.5**	**-199.7**	**-191.6**	**-180.4**	-37.4%
ICF Growth (%)			465.0%	-72.8%	-4.1%	-5.8%	
Equity Raised		0.0	0.0	0.0	0.0	0.0	
Buybacks		-2.5	-1.9	0.0	0.0	0.0	
Dividends Paid		-122.9	-44.7	-52.1	-82.4	-93.8	
Minority Dividends Paid		0.0	0.0	0.0	0.0	0.0	
Debt Drawn/(Repaid)		424.9	600.0	0.0	0.0	0.0	
Payment of Lease Liabilities		-45.0	-21.6	0.0	0.0	0.0	
Net cash flows from revolving bank faci		-140.0	0.0	0.0	0.0	0.0	
Other		-12.5	0.0	0.0	0.0	0.0	
Financing cash flow		**102.0**	**531.8**	**-52.1**	**-82.4**	**-93.8**	-156.1%
Change in cash and cash equivalents		91.3	4.7	91.9	109.3	109.1	
Cash Flow Growth (%)			-94.9%	1869.4%	18.8%	-0.1%	
FX adjustments		0.0	0.0	0.0	0.0	0.0	
Net cash flow		**91.3**	**4.7**	**91.9**	**109.3**	**109.1**	185.9%
Opening cash		199.4	290.7	295.4	387.3	496.6	
Closing cash		**290.7**	**295.4**	**387.3**	**496.6**	**605.7**	

Source: E&Pe, Company Reports

Tabcorp's balance sheet looks like it is in decent shape through our forecast period. Starting with peak leverage in FY24 of 2.2x trailing Net Debt/EBITDA (due to paying for the Victorian retail licence but not having earnings from it yet), Tabcorp quickly gets below 1.0x Net Debt/EBITDA presuming a 60% payout ratio, as the amortisation charge mainly maps to non-cash charges, meaning that cash accumulates on the balance sheet at a decent rate. We believe the company is in a position where, presuming a similar structure to VIC, it could fund a similar outcome for the NSW retail licence moving to a level playing field without the need to raise equity form FY26.

Exhibit 15 - Tabcorp - balance sheet forecasts

BALANCE SHEET	2022A	2023A	2024E	2025E	2026E	2027E
Cash	199.4	290.7	295.4	387.3	496.6	605.7
Receivables	129.9	165.8	130.8	144.3	146.3	148.3
Tax Assets	0.0	10.8	56.5	56.5	56.5	56.5
Other	102.1	84.5	72.4	72.4	72.4	72.4
Total Current Assets	**431.4**	**551.8**	**555.0**	**660.5**	**771.7**	**882.9**
Goodwill	1,734.0	1,734.0	1,521.2	1,521.2	1,521.2	1,521.2
Other Intangible Assets	1,474.4	1,410.2	1,396.9	1,343.0	1,296.0	1,255.1
PP&E	349.4	271.7	191.8	185.5	182.1	180.6
Receivables	10.8	6.8	4.5	4.5	4.5	4.5
Investment in Associates	0.0	30.6	30.4	30.4	30.4	30.4
Other	48.7	47.3	44.0	44.0	44.0	44.0
Total Non-Current Assets	**3,617.3**	**3,500.6**	**3,188.8**	**3,128.6**	**3,078.2**	**3,035.8**
TOTAL Assets	4,048.7	4,052.4	3,743.8	3,789.0	3,849.9	3,918.6
Overdraft	0.0	0.0	0.0	0.0	0.0	0.0
Payables	598.5	571.0	475.5	468.6	474.5	480.7
Other	223.2	59.1	68.8	68.8	68.8	68.8
Total Current Liabilities	**821.7**	**630.1**	**544.3**	**537.4**	**543.3**	**549.5**
Debt	135.3	431.9	1,018.7	1,018.7	1,018.7	1,018.7
Payables	181.7	140.5	124.0	124.0	124.0	124.0
Tax Liabilities	179.5	180.1	34.1	34.1	34.1	34.1
Other	19.4	10.7	38.5	38.5	38.5	38.5
Total Non-Current Liabilities	**515.9**	**763.2**	**1,215.3**	**1,215.3**	**1,215.3**	**1,215.3**
TOTAL Liabilities	1,337.6	1,393.3	1,759.6	1,752.7	1,758.6	1,764.8
Share Capital	1,635.9	1,687.1	1,687.6	1,687.6	1,687.6	1,687.6
Reserves	1.0	5.6	1.0	1.0	1.0	1.0
Retained Earnings	1,074.2	966.4	295.6	347.8	402.7	465.3
Minority Interests	0.0	0.0	0.0	0.0	0.0	0.0
Total Equity	**2,711.1**	**2,659.1**	**1,984.2**	**2,036.4**	**2,091.3**	**2,153.9**
Net Debt (incl. leases)	-64.1	141.2	723.3	631.4	522.1	413.0
Net Debt/EBITDA	-0.2x	0.4x	2.2x	1.3x	1.0x	0.8x

Source: E&Pe, Company Reports

Valuation

Our valuation on Tabcorp incorporates the following broad assumptions:

- Financial forecasts as discussed in the prior section, extended out to 2034
- Cost of Equity 14.0% (and Cost of Debt long term 7.0%)
- Terminal multiple 12.0x P/E

Our base case valuation is $0.92/sh.

Our valuation has the following sensitivities:

Exhibit 16 - Tabcorp - valuation sensitivity to key inputs

	12%	13%	14%	15%	16%
10x	0.99	0.93	0.87	0.82	0.77
11x	1.02	0.96	0.90	0.84	0.79
12x	1.06	0.99	0.92	0.86	0.81
13x	1.09	1.01	0.95	0.89	0.83
14x	1.12	1.04	0.97	0.91	0.85

Source: E&Pe

Key Risks

Below are some key general risks to an investment in Tabcorp:

- **Regulatory risk** - the entire gaming sector faces significant regulatory risk, with governments generally disposed to be concerned with problem gambling, and also viewing the industry in general as a source of taxation opportunity that only has a certain level of resistance vs other taxation opportunities. As such there is the potential in the future for regulation to hamper ability to operate, or for taxation policies to decrease margins over time;
- **Competition risk** - the wagering industry is highly competitive, with a number of international operators with scale and global technology platforms, as well as global customer service capabilities. Balancing this is the fact that Tabcorp has faced this competition for quite some time with certain competitive disadvantages structurally which are starting to levelize;
- **Balance Sheet** - Tabcorp has recently taken on significant debt to fund the purchase of a new retail licence in Victoria, which means that there are constraints on their financial flexibility presently. A significant surge in interest rates could also pose issues for profitability;
- **Operating Leverage** - the wagering industry is in general quite a fixed-cost driven business, with IT systems and certain human capital involved in operations, and then variable volumes. We are likely presently towards the bottom of the cycle for the wagering business, however further declines in wagering volumes could impact profitability significantly given the level of fixed costs. On the flip side this represents good upside in the event of an upswing in the cycle;
- **Licencing renewals** - across both the retail wagering business and the Gaming Services business, Tabcorp operates businesses that only exist due to licencing arrangements, the majority of which are currently exclusive licences. The value of Tabcorp's business is dependent to some degree on renewing licences, in general on similar terms including exclusivity. As such a failure to renew, or a failure to achieve exclusivity on renewal, is a key risk. In addition, in general Tabcorp makes payments to government entities for these licence renewals, and this is done via competitive tendering. As such over-paying for a renewal is also a key risk;
- **Technology risk** - Tabcorp operates a large digitally-powered business that handles high volumes of payments and also a large amount of personal information on its customers. As such, a large system outage, or a cybersecurity breach, or any such technology operating issue could both reduce near-term revenues and/or profits and lead to reputational risk. This is a feature of the whole industry, not unique to Tabcorp.

Board of Directors

Bruce Akhurst - Chairman

Bruce Akhurst is a Director of McMillan Shakespeare Limited (from April 2021). He is also Chairman of the Peter MacCallum Cancer Foundation and a Council Member of RMIT University. Bruce was the Executive Chairman of Adstream Holdings Pty Ltd and was a Director of Vocus Group Limited (from September 2018 to July 2021) and private investment company Paul Ramsay Holdings Pty Ltd. In his executive career, Bruce was Chief Executive Officer of Sensis Pty Ltd from 2005 to 2012 and a Director and Chairman of Foxtel. He also spent seven years as Group Managing Director and Group General Counsel at Telstra Corporation Limited, and prior to that he was a Partner at Mallesons Stephen Jaques. Bruce brings to the Board leadership and extensive experience in legal and regulatory compliance, governance and risk management, marketing and customer experience, media, digital innovation, information technology, strategy, finance and capital management.

Adam Rytenskild - Managing Director and CEO

Adam Rytenskild joined Tabcorp in 2000 and has been a member of Tabcorp's Executive Leadership Team since 2010. During this time he has led Wagering's Digital and Retail Operations, Gaming Services business, Keno business and has been Managing Director – Wagering and Media since the Tabcorp-Tatts combination in December 2017. He became Managing Director and Chief Executive Officer when Tabcorp's demerger of its former Lotteries and Keno business was completed in June 2022. Adam is also a Director of the Australasian Gaming Council. Adam has over 20 years of experience in gambling entertainment and leading complex, customer focused businesses that are heavily regulated, have multiple stakeholders, and operate in dynamic and highly competitive digital markets. Adam brings to the Board extensive gambling industry experience, strategic and commercial acumen, retailing and customer experience. In addition to the qualifications below, Adam has attended the Senior Executive Program at the London Business School, and the Executive Breakthrough Program with Egon Zehnder.

Raelene Murphy - Independent Non-Executive Director

Raelene Murphy is a Director of Elders Limited (from January 2021), Bega Cheese Limited (from June 2015) and Integral Diagnostics Limited (from October 2017). Raelene was previously a Director of Clean Seas Seafood Limited (from July 2018 to October 2020) and Altium Limited (from September 2016 to November 2022). Raelene had an executive career in finance and business turnaround, and has previously been the CEO of The Delta Group and a Managing Director of KordaMentha's 333 Management practice. Raelene brings to the Board extensive experience in finance, accounting, capital management, strategy, risk and compliance, organisational effectiveness and technology.

Brett Chenoweth - Independent Non-Executive Director

Brett Chenoweth is Chairman of Adairs Limited (from November 2020), a Director of EVT Limited (from December 2022), and holds various unlisted company directorships including Canberra Data Centres, One New Zealand Group Limited (previously Vodafone New Zealand Limited), Madman Entertainment and Surfing Australia Limited. He was previously a Director of Janison Education Group Limited (from July 2014 to November 2022). Brett was previously the CEO and Managing Director of APN News and Media Limited, and has held senior executive roles at The Silverfern Group, Telecom New Zealand Limited, Ecorp Limited and Village Roadshow Limited. Brett brings to the Board extensive experience in retailing, marketing and consumer experience, digital innovation, technology and telecommunications, entertainment, strategy, legal, risk and compliance.

David Gallop AM - Independent Non-Executive Director

David Gallop AM is Chairman of Step One Clothing Limited (from October 2021), Venues NSW and Alacria Pty Ltd. He is also on the Board of Cricket NSW. David was previously the Chief Executive Officer and General Secretary of Football Federation Australia

from 2012 to 2019 and Chief Executive Officer of the National Rugby League from 2002 to 2012. He also held senior legal roles with the National Rugby League, News Corporation and law firm Holman Webb. David has served on numerous sports governing bodies including the Australian Sports Commission, Rugby League International Federation and the Asian Football Confederation's 2015 AFC Asian Cup Local Organising Committee. David brings to the Board extensive experience and background in sports administration, media rights and broadcasting, digital content delivery, customer experience, legal and regulatory frameworks and stakeholder relationship management.

Janette Kendall - Independent Non-Executive Director

Janette Kendall is a Director of Vicinity Centres (from December 2017), Costa Group Holdings Limited (from October 2016) and KM Property Funds Limited, and is on the Board of the Melbourne Football Club and Visit Victoria. Janette previously served as a Director of Nine Entertainment Co. Holdings Limited, Wellcom Worldwide Pty Ltd, Australian VenueCo and the Melbourne Theatre Company. During her executive career, Janette served in various senior management roles including as Senior Vice President of Marketing at Galaxy Entertainment Group in China, Executive General Manager of Marketing at Crown Resorts, General Manager and Divisional Manager roles at Pacific Brands, Managing Director of emitch Limited, and Executive Director of Clemenger BBDO. Janette brings to the Board extensive experience in marketing, operations and digital transformation. She also has a depth of experience in the gambling, retail and hospitality industries both in Australia and overseas.

Justin Milne - Independent Non-Executive Director

Justin Milne is a former Chairman of NetComm Wireless Limited, MYOB Group Limited, Australian Broadcasting Corporation and pieNETWORKS Limited, and was a Director of NBN Co Limited, SMS Management and Technology Limited, Members Equity Bank Limited and Basketball Australia Limited. Justin had an executive career in telecommunications, marketing and media. From 2002 to 2010 he was Group Managing Director of Telstra's broadband and media businesses, and headed up Telstra's BigPond New Media businesses in China. He was also the Chief Executive Officer of OzEmail and the Microsoft Network. Justin brings to the Board extensive experience in information technology, media, digital innovation, marketing and customer experience, public policy, strategic and commercial acumen and governance.

Karen Stocks - Independent Non-Executive Director

Karen Stocks is currently Vice President, Global Measurement Solutions at Google Inc. Karen was previously the founding Managing Director of Twitter Australia, and held several leadership roles at Google Australia, including as Managing Director, New Products and Solutions APAC, and at Vodafone Australia. Karen was previously a Director of Netball Australia. Karen is a senior technology and media executive, with extensive experience in the technology sector, media, data, and customer experience. Karen brings to the Board extensive experience in information technology, digital innovation, media and communications, marketing and customer experience.

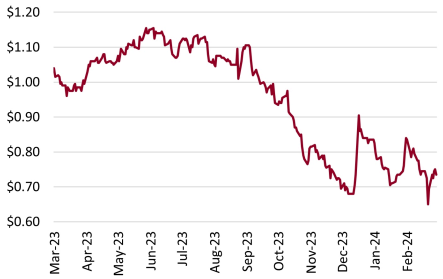
Tabcorp Holdings Ltd, Positive, VALUATION AUD0.92

EAP CORE DRIVERS

- Household disposable income driving gambling spend.
- Product innovation in wagering.
- Competitive intensity impacting both market share and margins.

INVESTMENT THESIS

- The potential renegotiation of the Victorian wagering licence on more favourable terms, noting our view Tabcorp's negotiating position has improved post-Covid, offset by increased competition.
- Online wagering competition from existing and new entrants with a margin advantage.
- Long-term decline of retail with covid granting competitors access to once out-of-reach retail-only customers.
- Rightsizing of Gaming Services an opportunity to realign the business.



FINANCIAL SUMMARY

Tabcorp Holdings Ltd				TAH-ASX					
As at:	03/03/2024			Recommendation:	Positive			Share Price:	AUD0.75
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
INCOME STATEMENT						FINANCING CASH FLOWS					
Total Operating Income/Revenue		2,434.4	2,291.4	2,528.1	2,562.6	Proceeds from Borrowings		424.9	600.0	0.0	0.0
EBITDA		390.8	329.0	474.6	497.4	Net Proceeds Issue/Buyback of Securities		(2.5)	(1.9)	0.0	0.0
D&A		(240.5)	(224.4)	(253.9)	(244.9)	Distributions		(122.9)	(44.7)	(52.1)	(82.4)
EBIT		150.3	104.5	220.7	252.5	**Total Financing Cash Flow**		**102.0**	**531.8**	**(52.1)**	**(82.4)**
Net Interest Expense		(23.8)	(37.3)	(55.7)	(49.2)	Net Change in Cash		91.3	4.7	91.9	109.3
PBT		117.8	49.7	155.0	193.2	Free Cashflow		119.3	180.3	280.5	319.2
Tax expense		(31.0)	(13.7)	(44.7)	(58.9)	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
Share of profits from associates		(2.7)	(6.8)	(6.0)	3.0	PER SHARE DATA					
NPAT attributable to s'hers		**84.1**	**29.2**	**104.3**	**137.4**	EPS - Adjusted (cents)		3.7	1.3	4.6	6.0
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**	DPS (cents)		2.3	2.0	2.3	3.6
BALANCE SHEET						Cash Flow Per Share (cents/share)		5.2	7.9	12.3	14.0
Assets						Book Value ($/sh)		116.6	86.9	89.2	91.6
Cash		290.7	295.4	387.3	496.6	NTA Per Share ($/sh)		(21.3)	(40.9)	(36.3)	(31.8)
Current Receivables		165.8	130.8	144.3	146.3	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
Other Current Assets		95.3	128.9	128.9	128.9	SEGMENTALS					
Total Current Assets		551.8	555.0	660.5	771.7	Wagering & Media revenue		2,230.8	2,119.9	2,366.7	2,397.0
Property Plant & Equipment		272	192	186	182	Gaming Services revenue		203.6	171.5	161.4	165.5
Intangibles		1,410.2	1,396.9	1,343.0	1,296.0	Gaming Services EBITDA Margin		308.0	258.2	403.9	424.7
Other Non-Current Assets		47.3	44.0	44.0	44.0	Other EBITDA Margin		83.1	70.8	70.7	72.7
Total Non-Current Assets		3,500.6	3,188.8	3,128.6	3,078.2	**Year end**	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
Total Assets (BS)		4,052.4	3,743.8	3,789.0	3,849.9	ANALYSIS					
Liabilities						EBITDA Margin (%)		16.1	14.4	18.8	19.4
Total Current liabilities		630.1	544.3	537.4	543.3	EBIT Margin (%)		6.2	4.6	8.7	9.9
Long Term Debt		431.9	1,018.7	1,018.7	1,018.7	Net Profit Margin (%)		3.5	1.3	4.1	5.4
Total Non-Current Liabilities		763.2	1,215.3	1,215.3	1,215.3	Capital Employed		2,800.3	2,707.5	2,667.8	2,613.5
Total Liabilities		1,393	1,760	1,753	1,759	Return on Capital Employed (%)		5.5	3.8	8.2	9.6
Total Shareholders' Equity		2,659.1	1,984.2	2,036.4	2,091.3	EBITDA/Capital Employed (%)		14.3	11.9	17.7	18.8
Net Assets		2,659.1	1,984.2	2,036.4	2,091.3	**ROE %**		**3.1**	**1.3**	**5.2**	**6.7**
Net Tangible Assets		(485.1)	(933.9)	(827.8)	(725.9)	Net Debt/Equity (%)		5.3	36.5	31.0	25.0
Book Value		2,659.1	1,984.2	2,036.4	2,091.3	Net Debt/Net Debt & Equity (%)		5.0	26.7	23.7	20.0
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**	Net Debt/EBITDA (x)		0.4	2.2	1.3	1.0
OPERATING CASH FLOWS						Net Interest Cover (x)		5.3	1.7	2.8	3.2
EBITDA		391.0	329.0	474.6	497.4	GOCF/EBITDA (%)		0.4	0.6	1.0	1.0
Change in Working Capital		(63.4)	(60.4)	(20.4)	3.9	Total Capex/Sales (%)		9.5	32.9	7.7	7.6
Other Operating Cashflow		(154.6)	(86.6)	0.0	0.0	Working Capital/Sales (%)		(0.2)	(0.2)	(0.1)	(0.1)
Gross Operating Cash Flow		**173.0**	**181.9**	**454.2**	**501.3**	D&A/PP&E (%)		88.5	117.0	136.9	134.5
Net interest paid		(23.5)	(38.6)	(65.7)	(59.2)	EV/EBITDA (x)		6.8	7.4	4.9	4.5
Tax Paid		(30.2)	64.1	(44.7)	(58.9)						
Net Operating Cash Flows		**119.3**	**207.4**	**343.7**	**383.2**						
Investing Cash Flows						BLENDED VALUATION					
Purchase of PP&E		0.0	(27.0)	(63.2)	(64.1)	Valuation - DCF		0.92	1.0%		
Proceeds from Asset Sales		41.2	1.2	0.0	0.0	Valuation		AUD0.92			
Other Investing Cashflows		59.0	18.1	(6.0)	3.0						
Total Investing CashFlow		**(130.0)**	**(734.5)**	**(199.7)**	**(191.6)**						

Source: Company data, E&P estimates

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

RESEARCH				
Cameron McDonald	Managing Director, Head of Research	Transport, Infra, Waste, Packaging	cameron.mcdonald@eandp.com.au	+61 3 9235 9709
Paul Mason	Managing Director	Technology	paul.mason@eandp.com.au	+61 3 9631 9867
Julian Mulcahy	Managing Director	Small Caps	julian.mulcahy@eandp.com.au	+61 3 9235 9713
Adam Martin	Executive Director	Energy	adam.martin@eandp.com.au	+61 3 9235 9724
Olivier Coulon	Executive Director	Small Caps	olivier.coulon@eandp.com.au	+61 2 8070 6634
Azib Khan	Executive Director	Banks	azib.khan@eandp.com.au	+61 2 8070 6636
Phillip Kimber	Executive Director	Consumer	phillip.kimber@eandp.com.au	+61 3 9631 9873
Robin Young	Executive Director	Wealth	robin.young@eandp.com.au	+61 3 9235 9730
Entcho Raykovski	Executive Director	Telco, Media	entcho.raykovski@eandp.com.au	+61 3 9235 9719
David Nayagam	Executive Director	Healthcare	david.nayagam@eandp.com.au	+61 3 9235 9704
Gretel Janu	Executive Director	Healthcare	gretel.janu@eandp.com.au	+61 2 8622 9136
Harry Saunders	Associate Director	Building Materials	harry.saunders@eandp.com.au	+61 3 9235 9744
Nick Weal	Associate Director	Small Caps	nick.weal@eandp.com.au	+61 2 80706637
Kieran Harris	Associate	Small Caps	kieran.harris@eandp.com.au	+61 3 9235 9749
Pallavi Malladi	Associate	Technology, Media, Telco	pallavi.malladi@eandp.com.au	+61 3 9631 9847
Kade Madigan	Associate	Consumer	kade.madigan@eandp.com.au	+61 2 8070 6637
Branko Skocic	Associate	Energy	branko.skocic@eandp.com.au	+61 3 9235 9705
Sam Bradshaw	Associate	Gaming	sbradshaw@eandp.com.au	+61 3 92359706
Alan Liang	Analyst	Healthcare	alan.liang@eandp.com.au	+61 3 92359771
SALES AND TRADING (AUSTRALIA)				
Alex Rock	Managing Director	Head of Institutional Equities	alex.rock@eandp.com.au	+61 2 8070 6617
Adam Woods	Managing Director	Head of Sales Trading	adam.woods@eandp.com.au	+61 2 8070 6671
Andrew Tanner	Managing Director / Senior Advisor	Institutional Equities Sales	andrew.tanner@eandp.com.au	+61 3 9235 9781
Sam Fletcher	Managing Director	Institutional Equities Sales	sam.fletcher@eandp.com.au	+61 2 8070 6615
Anna Lenzner	Executive Director	Institutional Equities Sales	anna.lenzner@eandp.com.au	+61 2 8070 6652
Steven Marchio	Executive Director	Institutional Equities Sales	steven.marchio@eandp.com.au	+61 3 9235 9752
Bill Forde	Executive Director	Institutional Equities Sales	bill.forde@eandp.com.au	+61 2 8070 6626
Alexander Blight	Executive Director	Sales Trader	alexander.blight@eandp.com.au	+61 2 8070 6629
Tanya Irivine	Executive Director	Head of Corporate Access	tanya.irvine@eandp.com.au	+61 2 8070 6612
Stuart Gordon	Director	Head of International Sales Trading	stuart.gordon@eandp.com.au	+61 2 8070 6684
Daniel Jetter	Director	Fixed Income	daniel.jetter@eandp.com.au	+61 3 9631 9801
Simon Bernadou	Associate Director	Institutional DTR	simon.bernadou@eandp.com.au	+61 2 8070 6672
Mark Steer	Associate Director	Institutional Operator	mark.steer@eandp.com.au	+61 3 9235 9708
Taylor Duong	Associate Director	Institutional Middle Office	taylor.duong@eandp.com.au	+61 2 8662 9722
Czarlette Cheika	Associate	Corporate Access Specialist	czarlette.cheika@eandp.com.au	+61 2 8070 6622
Tiana Mioni		Team Assistant - Equities	tiana.mioni@eandp.com.au	+61 2 8662 9746
INSTITUTIONAL SALES (HONG KONG)				
Olivia Cartwright	Director	Australian Equities Sales	olivia.cartwright@eandp.com.au	+852 3899 6673
Mitchel Holloway	Associate Director	Australian Equities Sales	Mitchell.holloway@eandp.com.au	+852 3899 6673
FIXED INCOME				
James O'Hare	Executive Director	Head of Fixed Income	james.ohare@eandp.com.au	+61 3 9631 9891
Stefan Cvetkovic	Associate Director	Bond Desk Associate	stefan.cvetkovic@eandp.com.au	+61 3 9235 9731
Stephanie Siomos	Associate	Fixed Income	stephanie.siomos@eandp.com.au	+61 3 9631 9887
CORPORATE ACCESS				
Tanya Irivine	Executive Director	Head of Corporate Access	tanya.irvine@eandp.com.au	+61 2 8070 6612
Czarlette Cheika	Associate	Corporate Access Specialist	czarlette.cheika@eandp.com.au	+61 2 8070 6622
Paris Gutierrez	Associate	Corporate Access Specialist	paris.gutierrez@eandp.com.au	+61 2 8070 6611
Anji Pandey		Team Assistant - Equities	anji.pandey@eandp.com.au	+61 2 8662 9751

Office locations

AUSTRALIA – EVANS AND PARTNERS PTY LTD

Sydney

Level 32, 1 O'Connell Street

Sydney NSW 2000

T +61 2 8070 6600

F +61 2 8569 0386

Melbourne

Mayfair Building, 171 Collins Street

Melbourne VIC 3000

T +61 3 9631 9888

F +61 3 8610 1608

HONG KONG – E&P ASIA (HK) LIMITED

Hong Kong

Suite 2076, Level 20, One International Finance Centre, No. 1 Harbour View Street

Central, Hong Kong

T +852 3899 6673

GENERAL RESEARCH DISCLAIMER, WARNING & DISCLOSURES

In Australia, this document is provided by Evans and Partners Pty Ltd ABN 85 125 338 785, holder of AFSL 318075, trading as E&P Research (**Evans and Partners**).

In Hong Kong, this document is issued by E&P Asia (HK) Limited (company number: 2918464) (**E&P Asia**) which is licensed under the Securities and Futures Ordinance (Cap. 571 of the laws of Hong Kong) (**SFO**) for Types 1 and 4 regulated activities (CE number: BPX011).

Please refer to the document entitled 'Research Conflicts of Interest Disclosure' available for download from the Important Disclosures section of our website (www.eap.com.au) and Evans and Partners' Financial Services Guide (FSG) which is also available on our website.

The information is **general advice only** and does not take into consideration an investor's objectives, financial situation or needs. Before acting on the advice, investors should consider the appropriateness of the advice, having regard to the investor's objectives, financial situation and needs. If the advice relates to a financial product that is the subject of a Product Disclosure Statement (e.g. unlisted managed funds) or other disclosure document, investors should obtain the PDS or other disclosure document and consider it before making any decision about whether to acquire the product.

The material contained in this document is for information purposes only and does not constitute an offer, solicitation or recommendation with respect to the purchase or sale of securities. It should not be regarded by recipients as a substitute for the exercise of their own judgment. Investors should be aware that past performance is **not an infallible indicator** of **future** performance and future returns are not guaranteed.

Any opinions and/or recommendations expressed in this material are subject to change without notice and none of Evans and Partners, its related companies, associated entities, or any of their respective officers, employees, agents, advisers or contractors (**E&P Group**) are under any obligation to update or keep current the information contained herein. References made to third parties are based on information believed to be reliable but are not guaranteed as being accurate.

This document is provided to the recipient only and is not to be distributed to third parties without the prior consent of Evans and Partners, or E&P Asia (in the case of Hong Kong).

HONG KONG

By accessing this document, the recipient represents and warrants they are a "professional investor" within the meaning of the definition of that term in Schedule 1 to the SFO. If this document has been received in error, please contact E&P Asia at Suite 2076, Level 20, One International Finance Centre, No. 1 Harbour View Street, Central, Hong Kong.

The contents of this document have not been reviewed by any regulatory authority in Hong Kong. If you have any doubt about any of the contents of this document, you should obtain independent professional advice.

No relationship is intended to be created between research analysts and recipients, except where necessary licenses and approvals have been obtained. Should you have any questions regarding this document, please contact E&P Asia on +852 3899 6673.

DISCLOSURE OF INTERESTS
One or more members of the E&P Group may have an interest in the securities or derivatives of any entities referred to in this material. The E&P Group does, and seeks to do, business with companies that are the subject of its research reports.

CORPORATE RELATIONSHIP DISCLOSURE

Security	Nature of relationship
4DX	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
ANZ	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
AYU	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
BST	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has provided advisory services to the company in the last 12 months, for which it received a fee.
CCR	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
CD1	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund I (CD1) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD1. Each individual receives remuneration from E&P and/or its related entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited (ACN 085 445 094) (the Responsible Entity).
CD2	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund II (CD2) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD2. Each individual receives remuneration from E&P and/or its related

	entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited (ACN 085 445 094) (the Responsible Entity).
CD3	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund III (CD3) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD3. Each individual receives remuneration from E&P and/or its related entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited (ACN 085 445 094) (the Responsible Entity).
CGUN	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
CVC	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
CGHE	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
EYE	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Bookrunner and Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
GBP	An employee of Evans and Partners Pty Ltd is a non-executive director of Global Petroleum Limited.
GCI	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Manager to an offering of securities of the company or its affiliates, for which it will receive a fee.
HUB	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
JDO	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
LE.US	A director of E&P Financial Group Limited, the ultimate holding company of Evans and Partners Pty Ltd, is a director of Lands' End Inc.
MXT	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
PYC	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
QRI	E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
SWM	The company has completed a conditional share sale agreement to acquire Prime Media Group Limited (PRT). E&P Corporate Advisory Pty Limited, a related entity of Evans and Partners Pty Ltd, provided advisory services to PRT, for which it received a fee. A director of E&P Financial Group Limited is a director of Seven West Media Limited.
URF	E&P Investments Limited, the Responsible Entity (RE) of US Masters Residential Property Fund (URF) and Evans and Partners Pty Ltd are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. Other subsidiaries of E&P also provide services to URF. Each of the RE and other related bodies corporate will receive fees for services provided to URF. Directors or employees of E&P and/or its related bodies corporate are directors of the RE of URF and/or other related entities that provide services to URF. Each individual receives remuneration from E&P and/or its related entities. The RE receives services under an administrative services agreement with K2 Asset Management Limited (ACN 085 445 094) (K2). K2 is receiving services at cost from a related party of the RE under a transitional services agreement.

RESEARCH ANALYST CERTIFICATION

I, Paul D Mason and Sam Bradshaw, hereby certify that all views expressed in this publication reflect my personal views about the subject theme and/or relevant company securities, and no attempt has been made by any other person to influence the views or themes contained within; and I am not in receipt of inside information and this publication does not contain any inside information. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

The above certifications are provided in accordance with applicable regulatory requirements.

DISCLAIMER

Except for any liability which cannot be excluded, no E&P Group member, nor any of their respective directors, employees and agents accept any liability or responsibility whatsoever for any loss or damage of any kind, direct or indirect, arising out of the reliance on or use of all or any part of this material, or for any errors, omissions, defects or misrepresentations in the materials. The information is subject to change without notice, and the E&P Group are not under any duty to update or correct it. Additional information may be available upon request.